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| <b>Subject Code</b>                            | <b>AF5321</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Subject Title</b>                           | <b>Mergers and Acquisitions</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Credit Value</b>                            | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Level</b>                                   | 5                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Normal Duration</b>                         | One Semester                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Pre-requisite / Co-requisite/ Exclusion</b> | Pre-requisite: Managerial Finance (AF5326)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Objectives</b>                              | <p>Mergers and acquisitions are complex economic activities that encompass a broad range of issues. This subject aims to develop an understanding of the strategic acquisition process both in Hong Kong and overseas. It contributes to the achievement of PgDPA / MPA Programme Outcomes by enabling students to <u>identify real life merger issues and explain the related observations or phenomena in terms of sound financial theories</u>. This is achieved through dissecting mergers and acquisitions at three different levels. On the theoretical level, we will analyze a conceptual framework and examine empirical evidence of the economic functions played by the M&amp;A market. On the technical ground, we will review the legal/regulatory aspects, valuation approaches, accounting methods, deal structuring as well as financing issues relating to M&amp;A activities. On the strategy front, various strategies and tactics used in bidding and takeover defenses will be examined. Local M&amp;A cases and issues will also be discussed where appropriate. Accounting, economic and ethical issues are important ingredients in most of the case analysis. The exposure to these issues will help students <u>applying the up-to-date professional/academic knowledge acquired in this subject to solve similar merger problems in other real case situations</u> (Programme Outcome 5).</p> |
| <b>Intended Learning Outcomes</b>              | <p>Upon completion of the subject, students will be able to:</p> <ul style="list-style-type: none"> <li>(a) <u>examine the merger and acquisition process</u> in the capital market;</li> <li>(b) <u>illustrate the leading methods used in the valuation of a firm for merger analysis</u> such as comparable companies approach, transactions approach, the spreadsheet approach, and the formula approach</li> <li>(c) <u>review the large body of empirical research on M&amp;A and the analysis of the effects of M&amp;A</u>; and</li> <li>(d) <u>assess the different forms of takeovers and acquisition, offers and defenses</u>.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |



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|                                      | <p>Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:</p> <p>Class participation – On every meeting session, 60 minutes are allocated to go through some current issues and short cases where students are expected to contribute actively.</p> <p>Individual assignment – Student are required to tackle problems which cover all intended learning outcomes.</p> <p>Group case study – An Asian M &amp; A transaction is studied by the group where students have to go through the whole process, present the case in class and submit a written report.</p> <p>Final examination – 3 hours examination with questions cover all the intended learning outcomes.</p> <p><b>Note: In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturer(s).</b></p> |          |
| <b>Student Study Effort Expected</b> | Class contact:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |
|                                      | <ul style="list-style-type: none"> <li>13 weeks of three-hour seminar</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 39 Hrs.  |
|                                      | Other student study effort:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |          |
|                                      | <ul style="list-style-type: none"> <li>Class preparations, reading subject materials/textbook, assignments and group discussions</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 78 Hrs.  |
|                                      | Total student study effort                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 117 Hrs. |
| <b>Reading List and References</b>   | <p><u>Recommended text</u></p> <p>Patrick A. Gaughan, <i>Mergers, Acquisitions, and Corporate Restructurings University Edition</i>, latest edition, John Wiley and Sons.</p> <p><u>Reference books</u></p> <p>Sudi Sudarsanam, <i>Creating Value from Mergers and Acquisitions: The Challenges</i>, latest edition, Prentice Hall</p> <p>J. Fred Weston, Mark L. Mitchell, and J. Harold Mulherin, <i>Takeovers, Restructuring &amp; Corporate Governance International Edition</i>, latest edition, Prentice Hall.</p>                                                                                                                                                                                                                                                                                                                                                                                               |          |

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|  | <p>Robert F. Bruner, <i>Case Studies in Finance</i>, latest edition, McGraw Hill.</p> <p>Larry H.P. Lang, <i>Cases of Mergers and Acquisitions in Hong Kong</i>, latest edition, Prentice Hall.</p> <p>Desmond Li, <i>Mergers and Acquisitions in Hong Kong</i>, latest edition, FT Law &amp; Tax Asia Pacific.</p> <p><i>The Codes on Takeovers and Mergers and Share Repurchases (latest edition)</i></p> <p><u>Journal articles</u></p> <p>CORNAGGIA &amp; LI, "The value of access to finance: evidence from M&amp;As", <i>Journal of Financial Economics</i> (2019) pp.232-250</p> <p>Gokkaya, Liu &amp; Stulz,"Do firms with specialized M&amp;A staff make better acquisitions?", <i>Journal of Financial Economics</i> 147 (2023), pp75-105</p> <p>David OFFENBERG and Christo PIRINSKY, "How do acquirers choose between mergers and tender offers?". <i>Journal of Financial Economics</i> 116, 2015, pp.331-348</p> <p>Vladimir VLADIMIROV, "Financing bidders in takeover contest." <i>Journal of Financial Economics</i> 117 (2015), pp.534-557</p> <p>Daniel ANDREI, William MANN, Nathalie MOYEN, "Why did the q theory of investment start working?". <i>Journal of Financial Economics</i> 133 (2019) pp.251-272.</p> |
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